

Pinnacle Cloud Systems, Inc. — Separation & Severance Summary

Employee: Rikita Remi Emp ID PCS-44192 Prepared: Apr 24, 2026

Involuntary termination effective April 30, 2026 as part of a company-wide reduction in force. Not a determination of cause.

Item	Detail
Termination type	Involuntary — position eliminated (RIF)
Last day worked	April 30, 2026
Severance (lump sum)	\$46,500.00 (3 months base)
Fed withholding on severance	22% supplemental
Accrued PTO payout	See page 3 (paid separately)
Health coverage	Employer-paid through Apr 30; COBRA available
Equity / RSUs	580 unvested shares forfeited
401(k)	Contact Greenline Retirement Services

Severance Pay Detail (as paid on final earnings statement)

Item	Rate	Amount
Severance gross		\$46,500.00
Federal income tax	22%	\$-10,230.00
Social Security	6.2%	\$-2,883.00
Medicare	1.45%	\$-674.25
Colorado state tax	4.4%	\$-2,046.00
Net severance		\$30,666.75

22% flat withholding on severance is below the marginal rate — plan for a balance due on the 2026 return.

Accrued PTO Payout & COBRA Continuation

PTO Payout (paid separately from severance)

Item	Value
Unused PTO balance (hours)	81.32
Hourly rate (\$186,000 / 2,080 hrs)	\$89.42
Gross PTO payout	\$7,271.63
Federal (22%)	\$-1,599.76
Social Security (6.2%)	\$-450.84
Medicare (1.45%)	\$-105.44
Colorado (4.4%)	\$-319.95
Net PTO payout	\$4,795.64

Gross PTO payout = 81.32 hrs × \$89.42 = \$7,271.63. This is additional 2026 taxable income, paid separately from the severance lump sum.

COBRA Continuation Coverage

Plan	Monthly premium (full)
Medical PPO	\$925.00
Dental	\$65.00
Vision	\$38.00
Subtotal	\$1,028.00
+2% administrative fee	\$20.56
Total monthly COBRA premium	\$1,048.56
18-month maximum cost	\$18,874.08

COBRA lets you keep this coverage for up to 18 months at \$1,048.56/month (you pay the full premium plus a 2% admin fee). COBRA premiums are a qualified HSA expense while you receive unemployment.

Benefits Continuation Timeline & Release Terms

Date	Event
Apr 30, 2026	Last day worked; employer-paid coverage ends
Apr 30, 2026	Severance lump sum on final earnings statement
By May 14, 2026	PTO payout issued separately
By May 15, 2026	COBRA election packet mailed (60 days to elect)
May 5, 2026	401(k) separation statement issued
Jul 15, 2026	Unvested RSUs would have vested — forfeited

Release & Consideration

The severance is offered in exchange for a general release of claims and is subject to a 21-day consideration period and a 7-day revocation period. Severance and PTO payout are reported on your 2026 Form W-2. This summary is informational and does not supersede the formal separation agreement.